

Did you know?

Value of Rs.1 lakh can reduce to Rs.97,418 in one year.

You work hard to earn your money. It helps to meet your monthly expenses and the rest, you put away in a savings account for safekeeping. This way, you can easily access your money if you come across any unplanned expenses.

Keeping some money aside is a good habit, but by keeping a substantially large sum in a savings bank account, you may be actually losing the value of your money (as illustrated on the next page). Why? Because it is getting eroded by inflation...

Increase in prices i.e. inflation is responsible for reducing the value of the rupee. For instance, Rs. 100 could have bought you movie tickets and popcorn for an entire family of four in the 1990s. Today, for the same outing you may have to spend more than Rs. 1,000.

Plus, depending on your income level, you have to pay tax on the interest that you earn on your savings bank account which can further reduce your returns.

Therefore, you need to look for investment avenues that help you fight inflation.